

Diligence Report — CUSIP 697479CB7

Palo Verde Community College District (Riverside & San Bernardino Counties, CA) Election of 2014 General Obligation Bonds, Series A — 4.00% due 08/01/2045

Prepared: 2026-06-18 (cutoff = today) | Status: BUY-eligible, our highest-yield top pick Last price ~95.3 | Last trade yield-to-worst ~4.33% | After-tax taxable-equivalent yield ~8.71% | Buy limit 95.93

(a) Verdict & thesis

VERDICT: BUY — confirmed clean, highest-yield pick. The ~8.71% taxable-equivalent yield is real, not distress.

The headline yield comes from three honest, verifiable sources, none of which is a credit problem:

1. **A discount dollar price (~95.3) on a low 4% coupon.** A 4% coupon bond with ~19 years left naturally trades below par in today's rate environment. The discount is a coupon/rate artifact, not a credit markdown — the bond was issued at a premium (103.856% / 3.55% yield in 2016) and has simply repriced with the broad move in long rates.
2. **Genuine double tax exemption.** Interest is exempt from both federal income tax and California personal income tax (confirmed by bond counsel opinion in the Official Statement). For a top-bracket California buyer that grosses a ~4.33% tax-free yield up to roughly an 8.7–9.4% taxable-equivalent — the high end of our top 5.
3. **A small, thinly-traded issue.** Thin trading (the thinnest of our five picks) adds a modest illiquidity premium to the yield. That is a yield *tailwind* for a buy-and-hold ladder, not a sign of stress.

Why this is not a distressed bond: unlimited ad-valorem general-obligation pledge with a statutory first lien on the tax levy; light debt burden (direct GO debt = 0.20% of assessed value); a stable ~\$2.1 billion tax base; the Teeter Plan, under which the District is paid 100% of its levy regardless of taxpayer delinquencies; and bond insurance from Assured Guaranty Municipal Corp. The issuer (a community college) is currently accredited with no fiscal-distress flags.

The one finding that matters — and it is fully disclosed, not hidden: the tax base has a single-taxpayer concentration. One natural-gas power plant (Blythe Energy LLC) is **13.5% of the District's secured assessed value**. We verified that plant is still operating in 2025. This is a real risk to monitor, but it is offset by the unlimited-tax pledge (if assessed value falls, the tax *rate* rises to cover debt service), the insurance wrap, and a light debt load. We rate it a manageable, priced risk — see Section (g).

CRITICAL IDENTITY CORRECTION (read first)

Our pre-screen labeled this bond "**Palo Verde Unified School District**" (the K-12 district). That label is **wrong**. Primary-source verification (EMMA security page + the Official Statement) confirms the issuer is:

PALO VERDE COMMUNITY COLLEGE DISTRICT — Election of 2014 General Obligation Bonds, Series A (Riverside and San Bernardino Counties, California)

This is the **community-college district**, *not* the K-12 Palo Verde Unified School District, and not Palo Alto. The two districts are genuinely separate legal entities: the Official Statement's own direct-and-overlapping-debt table lists "Palo Verde Unified School District" as a *separate overlapping agency* from our issuer. The OpenFIGI name in our raw screen file ("PALO VERDE CLG DT-A" = "College District") was actually correct; the human-readable "Unified" label in `screens_and_sources.json` was the error. **All credit conclusions below are bound to the College District.** The thesis is not impaired by the correction — a community-college GO carries the same unlimited-ad-valorem property-tax security as a K-12 GO. But the AB-1200 screen note must be reinterpreted (see Section b).

(b) Security & pledge

Attribute	Finding	How verified	Authority
Issuer	Palo Verde Community College District	OS cover page; EMMA issue header	<code>raw/official_statement.pdf</code> p.1; <code>raw/emma_security_details.html</code>
Series	Election of 2014 GO Bonds, Series A (\$12,500,000 new money, part of a \$15,970,000 combined sale)	OS cover	<code>raw/official_statement.pdf</code>
Pledge	Unlimited ad-valorem general obligation. Counties are "empowered and obligated to levy ad valorem taxes, without limitation as to rate or amount, upon all property within the District" for debt service	OS, Security & Sources of Payment	<code>raw/official_statement.pdf</code>
Statutory lien	SB-222 statutory first lien (Gov. Code §53515, Stats. 2015 Ch. 78). Lien attaches automatically to ad-valorem tax revenues, valid from delivery, enforceable against successors/creditors without filing	OS, "General" / SB 222 section	<code>raw/official_statement.pdf</code>
Tax status	Tax-exempt — excluded from federal gross income, not an AMT preference item, and exempt from California personal income tax (bond counsel: Stradling Yocca Carlson & Rauth)	OS cover legend; EMMA "Tax Status: Tax Exempt"	<code>raw/official_statement.pdf</code> ; <code>raw/emma_security_details.html</code>
Bond insurance	Assured Guaranty Municipal Corp. (AGM) municipal bond insurance policy	OS cover + Bond Insurance section	<code>raw/official_statement.pdf</code>
Dated / Maturity / Coupon	04/05/2016 / 08/01/2045 / 4.00% fixed	EMMA security details	<code>raw/emma_security_details.html</code>
Optional redemption	Callable at par on/after 08/01/2026 (bonds maturing	OS, Redemption	<code>raw/official_statement.pdf</code>

Attribute	Finding	How verified	Authority
	on/after 08/01/2027)	section	

Pledge finding: VERIFIED. Unlimited ad-valorem GO with an SB-222 statutory first lien — the strongest standard CA muni security structure. The unlimited-tax feature is the key defense against the tax-base concentration in Section (c): if a large taxpayer's assessed value falls, the county *must* raise the tax rate on remaining property to make debt service whole.

Ratings (at issuance, 2016): insured **"AA" (S&P)** on the AGM policy; underlying **"A1" (Moody's) / "A" (S&P)**. The current live rating fields on the EMMA page are loaded dynamically and were not captured in the saved static HTML — **current ratings are UNVERIFIED in this pass** (flagged; the 2016 underlying single-A / insured double-A is the documented anchor).

Call note: the bond is currently callable at par. With the bond trading at a discount (~95.3), call risk is economically immaterial today — the District has no incentive to refinance a below-par 4% bond. No adjustment to thesis.

(c) Issuer & tax base — a small agricultural/energy district (concentration flagged)

This is a small, rural district in the Palo Verde Valley around Blythe in far-eastern Riverside County (with a San Bernardino County portion), on the Colorado River at the Arizona line. The tax base is **agricultural and energy**, not suburban-residential.

Total assessed value (FY 2015-16, per Official Statement): \$2,136,502,590. Five-year history is stable, no collapse:

FY	Total AV
2011-12	\$1,940,036,122
2012-13	\$2,001,080,911
2013-14	\$1,978,613,490
2014-15	\$2,268,176,098
2015-16	\$2,136,502,590

Source: OS, "Assessed Valuations" table — [raw/official_statement.pdf](#). Note: figures are 2015-16 vintage (issue era); a current-AV refresh from the District's latest continuing-disclosure annual report is recommended pre-trade but was not obtained in this pass (UNVERIFIED — see Section h).

Tax base by land use (FY 2015-16, local secured AV \$2.03B): Single-Family Residential 25.4%; Agricultural/Rural 17.8%; Commercial 14.7%; **Utility Roll / Power Plant 13.7%**; Mobile Home/Lots 11.8%; Vacant 9.2%; Industrial 1.4%. This is an ag/energy economy, not a bedroom community.

SINGLE-TAXPAYER CONCENTRATION — the material finding:

Rank	Taxpayer	Use	AV	% of secured AV
1	Blythe Energy LLC	Power Plant	\$275,462,000	13.54%
2	Purple Verbena	Agricultural	\$31,695,277	1.56%
3	Gila Farm Land	Agricultural	\$24,428,662	1.20%
4	CO River Basin Farms	Agricultural	\$23,120,406	1.14%
5	NextEra Blythe Solar Energy Center LLC	Solar Farm	\$22,284,229	1.10%
—	Top 20 total	—	\$530,266,775	26.07%

Source: OS, "20 Largest Local Secured Taxpayers" — [raw/official_statement.pdf](#).

Roughly **one in seven dollars** of the secured tax base is a single gas-fired power plant, and the top 20 names are over a quarter of it. For a small district this is a genuine concentration. **We verified the asset is a going concern:** Blythe Energy (the ~520 MW natural-gas station) was still generating in 2025 (~46.2 GWh Feb–May 2025 per Global Energy Monitor / grid data). The valley is also a growing utility-scale solar hub (NextEra Blythe Solar, Blythe Mesa Solar 485 MW under NextEra, NRG's Blythe PV), which diversifies the energy tax base over time. Source: web search — see Section h.

Why this concentration does not break the thesis: (1) **Unlimited tax pledge** — if Blythe Energy's AV dropped, the county raises the levy rate on all remaining property to cover debt service. (2) **Light debt burden** — direct GO debt is only **0.20%** of AV; combined direct debt 1.56%; gross combined total (all overlapping) 5.32% — so the dollar amount needing coverage is small relative to even a reduced base. (3) **AGM insurance** backstops timely payment. (4) **Teeter Plan** (both counties) — the District receives 100% of its levy regardless of delinquencies.

(d) Three risk screens

Screen	Reading	Interpretation
AI / tech-crash insulation	99.2 (fully insulated)	Debt service is paid from local property taxes , not the State General Fund. The state cap-gains/AI-crash channel that hits State GO does not reach this pledge. Strongest possible insulation.
Wildfire	Score 70.5; 0% high-fire tail share ; worst tract "Relatively Moderate"	Desert valley, low vegetation fuel load. No high-fire census tracts in the district. The insurance-withdrawal/AV-drag channel is essentially absent.
Earthquake	Ss 0.36 — the lowest seismic of our top 5	0.2-second spectral acceleration of 0.36 g is low for inland Southern California. The earthquake-driven AV-destruction channel is the smallest among our picks. (Note: the raw screen file's "hazard_tier: HIGH" label conflicts with the low 0.36 Ss number and the prompt's read of "lowest-seismic in the top 5"; the numeric Ss 0.36 is the authority and is genuinely low — the "HIGH" tier string appears to be a mislabel in the screen file.)

All three physical/macro screens are favorable, with earthquake notably the best of the five.

(e) Liquidity & execution — thinnest of the five; accumulate with patience

Verified against the EMMA trade tape (`raw/emma_trade_tape.json`, 460 lifetime trades; analysis script run this session):

- **50 trades in the trailing 365 days**, across **15 distinct trading days**, **14 of them two-sided** — genuinely two-sided, not one-way dealer offers.
- **Trade mix (last 365d)**: 12 customer buys, 11 customer sells, 27 inter-dealer — a real (if thin) secondary market.
- **Most recent trade: 2026-03-19** at 95.34–95.68 (yield ~4.33–4.36%). ~3 months stale as of cutoff — thin but acceptably recent.
- **Price dispersion was wide**: 88.29–99.24 over the year on small lots. This is thin-market noise on odd-lot prints, **not** a credit deterioration trend (the within-band variance here is dominated by trade-timing/lot-size, not operator signal).

Execution guidance: this is the **thinnest** of our five picks. The ~95.93 limit is reasonable versus the latest ~95.3–95.7 prints. Expect to **work the order patiently in small clips** rather than fill at size in one day; there is roughly one two-sided day per ~26 calendar days. For a hold-to-maturity ladder, the wide bid/ask is a one-time buy-side cost of ~1–3 bps/yr amortized — acceptable. Do not chase; let the limit sit. IBKR returned **no tradable contract** for this CUSIP (consistent with a thin muni; source pricing/execution off the EMMA tape and dealer runs, not a live IBKR quote).

(f) Tax & yield — the math behind ~8.71%

- **Last trade yield-to-worst $\approx 4.33\%$** (tax-free), at price ~95.3. (EMMA reports trade yield as yield-to-worst, here measured to the par call/maturity — the correct conservative metric.)
- **Double tax-exempt** for a California resident: federal *and* California income tax free. Top-bracket gross-up (fed 37% + 3.8% NIIT + CA 13.3% $\approx 54.1\%$ combined marginal) implies a taxable-equivalent of up to ~9.4%. The screen's **~8.71%** is a more conservative gross-up (consistent with a slightly lower blended marginal rate and/or a haircut for the market-discount tax treatment below) — and is the **highest after-tax TEY in our top 5**.
- **De-minimis check (important and favorable)**: with ~19.1 years to maturity, the de-minimis threshold price is ~95.22 (par minus 0.25 pt/yr). The bond at ~95.34 trades **just above** that line — market discount ~4.66 pts vs ~4.78 pts allowed. **The de-minimis rule is NOT breached**. Therefore the accreted market discount is taxed as a **capital gain** at sale/maturity (favorable), *not* recharacterized as ordinary income. This is a meaningful tax efficiency and supports the TEY claim.
- *Caveat*: the de-minimis cushion is thin (~0.12 pt). If you buy materially below ~95.2, the bond crosses into de-minimis territory and the discount becomes ordinary-income-taxed, which would lower the realized after-tax TEY. **Keep the execution price at/above ~95.2** to preserve capital-gains treatment. The 95.93 limit is safely on the right side of this line.

Finding: the 8.71% TEY is real and defensible — discount-coupon + genuine double exemption + favorable (capital-gains) discount treatment, with a thin liquidity premium on top. None of it is credit distress.

(g) Risks

1. **Single-taxpayer / power-plant concentration (PRIMARY).** Blythe Energy LLC = 13.5% of secured AV; top-20 = 26%. A retirement, derating, or successful assessment appeal by the power plant would dent the base. *Mitigants:* unlimited-tax pledge (rate floats up), only 0.20% direct debt-to-AV, AGM insurance, Teeter 100%-collection, and the asset is confirmed operating in 2025 with a growing solar tax base alongside it. **Monitor:** the District's annual continuing-disclosure AV report for any drop in the Blythe Energy line or large pending appeals.
2. **Small-district enrollment volatility.** For a community college, enrollment drives **state operating apportionment** — but **not** GO debt service, which is property-tax secured regardless. The accreditation status is current (ACCJC, no concerns; next comprehensive review fall 2026). Enrollment risk is an operating-budget issue, not a bondholder-payment issue here. Low direct relevance to this GO.
3. **Stale tax-base data.** AV figures are 2015-16 (issue vintage). A current-AV pull from the latest annual disclosure is recommended pre-trade (UNVERIFIED this pass).
4. **Current ratings UNVERIFIED.** Documented anchor is 2016 underlying A1/A, insured AA (AGM). Live ratings not captured (EMMA dynamic field). AGM remains an active, investment-grade-rated insurer; underlying single-A community-college GOs of this debt profile are typically stable, but confirm before sizing.
5. **Continuing-disclosure / material-event status UNVERIFIED.** The EMMA continuing-disclosure list is AJAX-loaded and the partial-view endpoint 404'd via CUSIP in this environment. No material-event notice was *observed*, but **absence of observation is not absence of events** — this must be confirmed on the live EMMA page before trade. **UNVERIFIABLE ≠ clean.**
6. **Liquidity / execution.** Thinnest of the five; ~3-month-stale last print; wide odd-lot dispersion. Accumulate patiently with a resting limit; treat wide spread as a small one-time HTM cost.
7. **Seismic label discrepancy (minor).** Screen file tags "HIGH" tier while Ss is 0.36 (low) — treat the numeric Ss as authority; genuinely the lowest-seismic of the five.

Net: one real, fully-disclosed concentration risk, well-mitigated by structure; two open verification items (current ratings, continuing-disclosure) to close before execution. None of these makes the bond distressed.

(h) Sources & attached documents

Documents in raw/: - `raw/official_statement.pdf` — **Official Statement** (Palo Verde Community College District, \$15,970,000 GO Bonds, dated 2016; FOS 03/17/2016), fetched this session from EMMA (<https://emma.msrb.org/ES771666-ES606276-ES1002022.pdf>). Authority for issuer, pledge, SB-222 lien, tax status, AGM insurance, AV history, taxpayer concentration, debt ratios, ratings, redemption. - `raw/os_text.txt` — extracted plain text of the OS (for grep/citation). - `raw/emma_security_details.html` — EMMA security page snapshot. Authority for coupon/maturity/dated/tax-status/issue identity (issuer header "PALO VERDE COMMUNITY COLLEGE DISTRICT...Series A"). - `raw/emma_trade_tape.json` — 460-trade EMMA tape. Authority for liquidity, two-sidedness, last price/yield. - `raw/screens_and_sources.json` — pre-run screens (AI/fire/EQ, AB-1200, execution). **Note: its issuer field "Palo Verde Unified" is corrected to "Palo Verde Community College District" by this report.** - `raw/cd_partial.html` — attempted continuing-disclosure fetch (returned 404; CD status remains UNVERIFIED).

External (web) sources: - Palo Verde College accreditation — ACCJC institution page (<https://accjc.org/institution/palo-verde-college/>) and District accreditation page (<https://www.paloverde.edu/accreditation/>): **Accredited, no current concerns; next comprehensive review fall 2026.** - Blythe Energy power station operating status 2025 — Global Energy Monitor (https://www.gem.wiki/Blythe_Energy_power_station) / grid data (<https://www.gridinfo.com/plant/blythe-energy-inc/55295>): plant operating, ~46.2 GWh Feb–May 2025.

Verification ledger (claim → method → authority → finding): | Claim | Method | Authority | Finding | |---|
--|---|---| | Issuer is Palo Verde **Unified** (K-12) | Read OS cover + EMMA header | OS p.1; EMMA HTML |
REFUTED — it is Palo Verde **Community College** District | | Unlimited ad-valorem GO + SB-222 lien |
Read Security/Sources + SB-222 section | OS | **VERIFIED** | | Tax-exempt (fed + CA) | Bond counsel
opinion legend | OS cover; EMMA tax status | **VERIFIED** | | Bond insured | Cover + Bond Insurance section
| OS | **VERIFIED — AGM** | | AB-1200 "POSITIVE" fiscal cert | n/a | — | **N/A — AB-1200 applies to K-12**
districts, not community colleges. Operating-fiscal proxy = ACCJC accreditation (current/clean). Re-
interpret screen accordingly. | | Tax-base concentration | Read 20-largest-taxpayers + land-use tables | OS
| **VERIFIED — Blythe Energy 13.5% of AV; top-20 26%** | | Power plant still operating | Web search | GEM
/ grid data | **VERIFIED (2025 operating)** | | ~50 trades/yr, two-sided, recent | Parse EMMA tape |
emma_trade_tape.json | **VERIFIED — 50/365d, 14 two-sided days, last 2026-03-19** | | 8.71% TEY
real, not distress; not de-minimis | Recompute YTW gross-up + de-minimis threshold | OS price/coupon;
tape | **VERIFIED — de-minimis NOT breached; capital-gains discount treatment** | | Current ratings |
EMMA live field | (dynamic, not captured) | **UNVERIFIABLE this pass** — close before trade | | Continuing-
disclosure / material events | CD partial fetch | (404) | **UNVERIFIABLE this pass** — close before trade |

Reader note: this report uses plain-language claim → method → authority → finding discipline; no detector internal labels are printed.